COMPANY ANALYSIS

by

Grandeur

The Consulting and Knowledge Cell of SSCBS

gsk

do more
feel better
live longer

GlaxoSmithKline

Table of Contents

Part 1 About Company

Part 2 History

Part 3 CEO of the Company

Part 4 SWOT Analysis

Part 5 Value Chain Analysis

Part 6 Competitive Advantage

Part 7 Group Turnover

About Company

- GlaxoSmithKline (GSK) is one of the world's largest research-based pharmaceutical companies that that discovers, develops, manufactures and markets human health products. It is an innovative company that produces branded products only, which it has developed itself.
- The company has two main divisions, pharmaceuticals and consumer healthcare. The consumer healthcare businesses of GSK consist of over-the-counter (OTC) medicines, oral care products, such as the toothpaste brands Aquafresh, Macleans and Sensodyne, and nutritional healthcare drinks. The pharmaceuticals division is the largest part of GSK's businesses and can be divided into prescription drugs and vaccines.
- The headquarters of GSK are located in the UK, with additional operational headquarters in the USA. The company operates in some 160 national markets, the major ones being the USA, Japan, France, Germany, the UK and Italy.

History in brief

- In 1988, SmithKline BioScience Laboratories acquires one of its largest competitors, International Clinical Laboratories Inc., increasing the company's size by half and becoming an industry leader.
- In 1989, SmithKline Beckman and The Beecham Group plc merge to form SmithKline Beecham plc.
- In 1994, SmithKline Beecham acquires Diversified Pharmaceutical Services Inc., a pharmaceutical benefits manager, and Sterling Health. This makes SmithKline Beecham the third-largest over-the-counter medicines company in the world and number one in Europe and the international markets. Focusing on human healthcare, SmithKline Beecham sells its animal health business.

The Glaxo factory was built in 1918, in Bunnythorpe, New Zealand, with the Glaxo Laboratories sign still visible

History in brief

- In 1995, Glaxo and Wellcome merge to form Glaxo Wellcome. Glaxo Wellcome acquires California-based Affymax, a leader in the field of combinatorial chemistry
- In 1998, Glaxo Wellcome acquires Polfa Poznan and becomes the largest pharmaceutical company in Poland.
- In 1999, further sharpening its focus on pharmaceuticals and consumer healthcare, SmithKline Beecham divests SmithKline Beecham Clinical Laboratories and Diversified Pharmaceutical Services.
- In 2000, GlaxoSmithKline is formed through the merger of Glaxo Wellcome and SmithKline Beecham.

GlaxoWellcome

Logo Used prior to merger with SmithKline Beecham

SmithKline Beecham

SmithKline & French and Beecham Group Merged

CEO of the Company

- Emma Walmsley has been GSK CEO and Board Director since April 2017. Prior to joining GSK in 2010, Emma worked with L'Oreal for 17 years.
- Emma is a business advisor to the UK Prime Minister and a member of The Business Council Executive Committee in the US.
- Emma ranked top in Fortune Magazine's 2020 'Most Powerful International Women'.
- Emma was appointed Dame Commander of the British Empire for services to the pharmaceutical industry and business in 2020.
- Emma holds an MA in Classics and Modern Languages from Oxford University.

The company aims to improve the quality of human life by helping people do more, feel better and live longer. It guides all actions and is key to the delivery of their strategy – to bring differentiated, high-quality, and needed healthcare products accessible to as many people as possible, preventing and treating disease, and keeping people well with the scientific and technical know-how and talented people.

STRENGHTS

- Strong Research and Development
- Efficient sales and distribution network
- Global presence , GlaxoSmithKline is a renowned company all over the globe.
- Customer relationships

WEAKNESSES

- Healthcare frauds and allegations
- Generic competition and maturity of flagship drugs
- Bad Product demand forecasting
- When it comes to efficacy, there are plenty of regulations implemented by government.

OPPORTUNTIES

- Growth by acquisition and collaboration
- New product launch
- Increasing Demand and Quality Healthcare
- Increase Opportunities in the vaccine industry

THREATS

- Intense competition from Generic drugs
- Exhaustion of patent rights
- Expensive research
- Drug pricing controls leading to cost containment pressures
- Challenges with emerging markets

Value Chain Analysis

A value chain is a business model that describes the full range of activities needed to create a product or service. For companies that produce goods, a value chain comprises the steps that involve bringing a product from conception to distribution, and everything in between—such as procuring raw materials, manufacturing functions, and marketing activities.

Value Chain

Purchased goods and services

The sourcing of the raw material GSK buys from other companies

GSK's Operations

The impact of what we do in their labs factories and Offices

Logistics

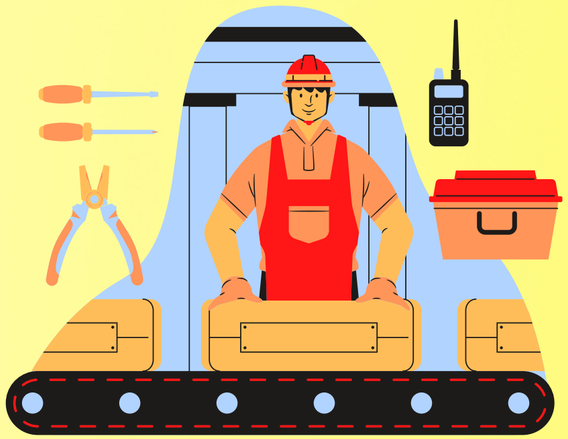
Delivering medicines vaccines and helath products across the globe

Use of our products

Patients and consumers using our products

Disposal

The disposal of products by GSK consumer



Primary Activities

Now under the primary activities there are 5 pillars **Inbound Logistics , Operations Logistics , Outbound Logistics , Marketing and Sales services.**

Services cover up the healthcare campaigns of GSK.

1 Inbound Logistics: Inventory, raw materials are generally purchased from the production sites like Lupin LTD, Cipla, Actavis, Binovo (Singh, 2016), etc. The raw materials are sent to the Qualitative (Joseph, 2015)analysis Lab (QA Lab) to ensure the high standards of quality of materials being used.

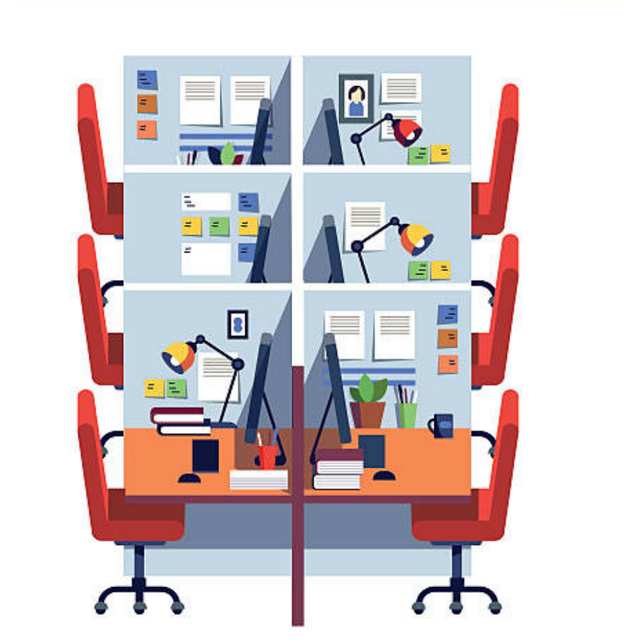
Primary Activities

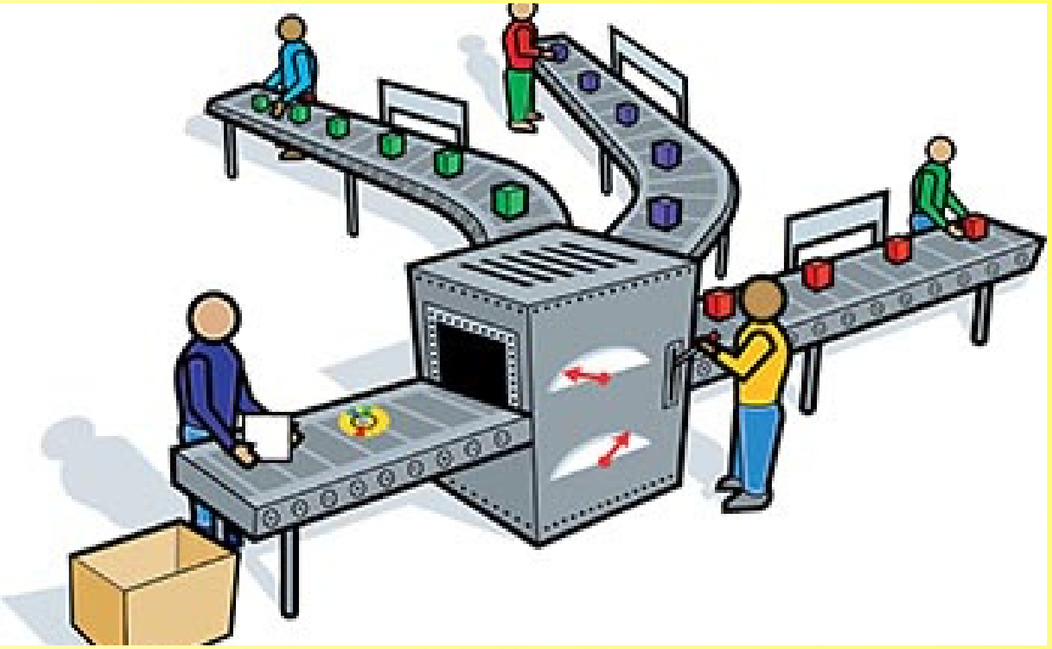
2. Outbound Logistics: PTN is received from the sites and lorry order is sent to Worli, Mumbai (Parijat Office). The labeled product is sent to wholesalers or the (Lofgern, 2013)retailers all around India.

3. Operation Logistics: When the production of medicines is completed, the end product is again sent to the Qualitative analysis (QA LAB) (Chaudhari)and the rejected products are again sent to the manufacturing process. The products that pass the QA Lab test, their respective Labels are issued for each Stack and they are forwarded to the outbound process

Operation includes (Lofgern, 2013) manufacturing, formulating, and filling, packing, controlling, releasing, and delivering over 1.4 billion medicinal drugs.

4. **Sales and marketing,** commercial teams are responsible for understanding the patients, (Halliburton, 2017) consumer and customers.





Secondary Activities

There are three pillars of secondary Activities of Value Chain that is **Infrastructure, Human resource management, and Research and Development.**

Firm infrastructure includes corporate office, Manufacturing units, R&D department.

Human resource management includes Compensation, organizational development, and enhancing the skill level of the employees.

Research and development includes bioelectronics, tackling the threats of antibiotic resistance, and epigenetic turn-on and turn-off.

Competetive Advantage

- **Strategic Transformation**

Since 2017, GSK has delivered 11 major product approvals* and doubled the number of assets in Phase III and registration to 22. Commercial execution has been transformed with new and specialty products now reaching £10 billion in annual sales

- **Maximizing Vaccines and Specialty Medicines**

GSK will prioritise R&D and commercial investment in Vaccines and Specialty Medicines, which are expected to grow to around three-quarters of company sales by 2026. As part of its 2021-26 outlook, Vaccines is expected to grow sales at a high single-digit % CAGR and Specialty Medicines at a double-digit % CAGR.

Competetive Advantage

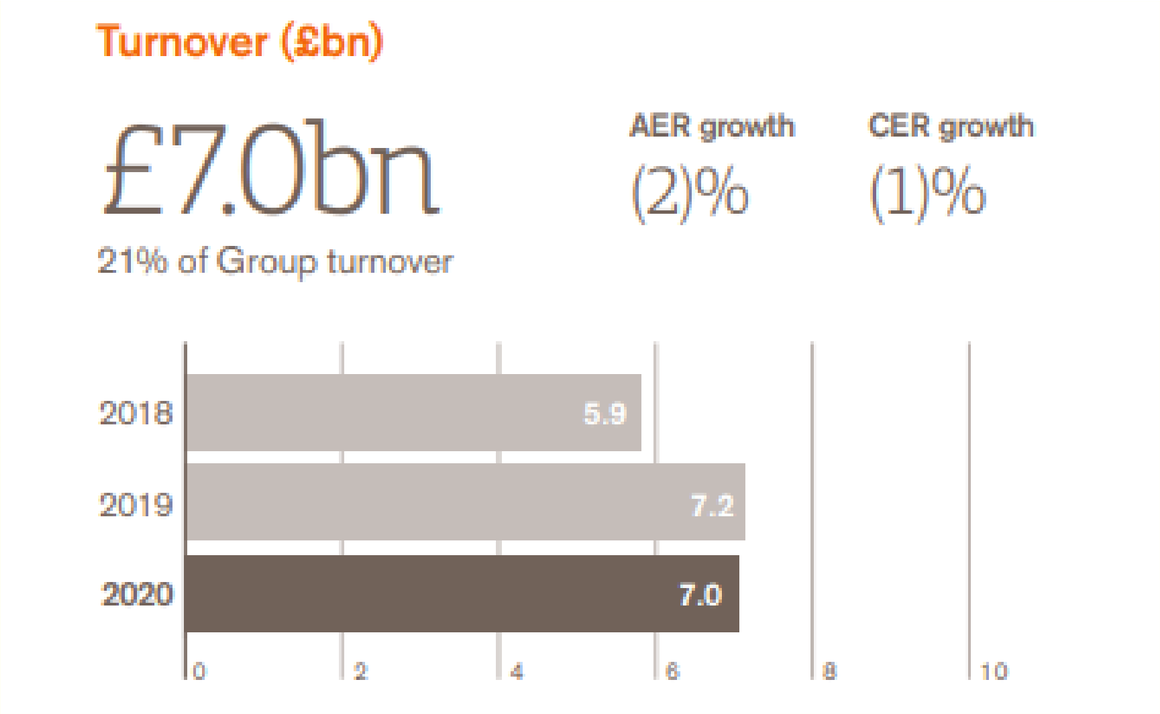
- **Maximizing Shareholders' Wealth - Consumer Healthcare separation**

The separation of Consumer Healthcare is expected in mid-2022 and the GSK Board's clear priorities are to unlock the potential of New GSK and Consumer Healthcare, strengthen New GSK's balance sheet, and maximize value for shareholders

- **Strengthened balance sheet to support growth and returns to shareholders**

Following the separation of the Consumer Healthcare business, New GSK is expected to have a net debt/adjusted EBITDA leverage ratio of fewer than 2 times. This, together with expected stronger cash flow generation, will provide additional flexibility to support future investments in growth. By 2026, cash generated from operations for New GSK is expected to exceed £10 billion.

GROUP TURNOVER



Group turnover by business

	2020 £m	2019 £m	Growth £%	Growth CER%
Pharmaceuticals	17,056	17,554	(3)	(1)
Vaccines	6,982	7,157	(2)	(1)
Consumer Healthcare	10,033	8,995	12	14
	34,071	33,706	1	3
Corporate and other unallocated turnover	28	48		
	34,099	33,754	1	3
Pro-forma growth				(2)

Group turnover by geographic region

	2020 £m	2019 £m	Growth £%	Growth CER%
US	14,556	13,890	5	6
Europe	8,164	8,069	1	1
International	11,379	11,795	(4)	–
	34,099	33,754	1	3

Group turnover was £34,099 million in the year, up 1% AER, 3% CER. On a pro-forma basis, Group turnover was down 2% CER, but up 1% at CER excluding the impact of divestments in Vaccines and brands divested or under review in Consumer Healthcare.